

PRIVATE & CONFIDENTIAL

300 City Road, Southbank

Two Options for IMG

Purple Sand Proposal — Financing Pathways for the Existing Project

Overview

Two Pathways, One Starting Point

Following the meeting with the Chairman of IMG, Purple Sand proposes two clear pathways for the project. Both options retain the existing project as the starting point, and both include Purple Sand arranging the financing and managing the relationship with financiers throughout the build to completion. Purple Sand would not act as construction Project Manager under either option.

Current Project Base

Metric	Figure
Existing NSA	≈ 17,900 m ²
Existing GBA	≈ 26,901 m ²
Apartments	≈ 265
Car parks	≈ 126
Current estimated GRV	≈ \$297.1M incl. GST
Blended residential selling assumption	≈ \$16,000/m ² NSA incl. GST
Current sales & marketing assumption (IMG/The Move structure)	≈ 7% of GRV

The \$16,000/m² blended residential assumption is based on the bank valuer's analysis of relevant projects currently selling, recently sold, or sold off-the-plan in the surrounding market. Final funding would require an updated apartment-by-apartment valuation.

1. Option 1 — Existing Permit: Finance and Build

Under Option 1, IMG proceeds with the existing permit, existing NSA and existing GBA substantially unchanged.

Purple Sand's role would be specifically focused on project financing and financier relationship management, including:

1. Review and finalise the funding feasibility.
2. Establish the capital structure, including senior construction debt and required equity.
3. Approach banks, non-bank lenders (preferring a tier 1 bank) and appropriate capital providers.
4. Negotiate interest rates, fees, LVR/LTC, presales, covenants, guarantees and funding conditions.
5. Coordinate financier due diligence and financial close.
6. Coordinate the financial interface between IMG, its QS, valuer, lawyers and financiers.
7. Manage IMG's relationship with the financiers throughout construction.
8. Assist with financier reporting and construction drawdowns.
9. Monitor funding covenants, debt requirements, equity requirements and facility headroom.
10. Manage the financier relationship through completion, apartment settlements and repayment of project debt.

Purple Sand would not manage the construction project. IMG and its appointed project manager, builder, architect, QS and consultants would remain responsible for construction and physical project delivery.

Option 1 — Preliminary Feasibility

Item	\$M
Residential GRV — 17,900 m ² @ \$16,000/m ²	286.40
Car Park GRV	10.71
Total GRV incl. GST	297.11
Less simplified GST provision	(27.01)
Net Revenue	270.10
Land	35.00
Hard Construction	161.40
Consultants	9.75
Authorities / Infrastructure	5.50
Project Management	2.20
Building Surveyor / Testing / Insurance	2.20

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Item	\$M
Marketing / Display	2.50
Legal / Contracts	0.80
Contingency	8.50
Finance	20.00
Sales & Marketing @ 7% (Move estimate)	20.80
Total Development Cost	268.65
Indicative Profit	\$1.45M
Indicative Profit on Cost	~0.5%

Option 1 conclusion

The project can be taken directly to the financing stage, but on the current preliminary assumptions the existing scheme is effectively at break-even. This provides very limited protection against construction escalation, delays, variations, interest-rate changes or sales risk — though with a high equity injection and a debt-free title, it remains a viable path.

Purple Sand's fee — Option 1

Purple Sand's fee for arranging and managing the financing under Option 1 is to be confirmed and agreed with IMG.

2. Option 2 — Three-Month Optimisation, Then Finance and Build

Option 2 includes everything in Option 1, but before finalising construction finance, Purple Sand undertakes a focused three-month commercial review aimed at materially improving the project feasibility.

The existing permit, 17,900 m² NSA and 26,901 m² GBA remain the starting position. The three-month exercise focuses initially on three major opportunities.

1. GST Review

Engage specialist GST advisers to review the existing project structure, acquisition history, margin scheme, input tax credits, construction GST and settlement treatment.

Item	Figure
Current simplified GST provision	≈ \$27.0M
Potential saving	To be established by specialist advice
Estimated review cost	≈ \$30,000 (subject to quotations)

No GST saving would be included in the feasibility until independently verified.

2. Basement Redesign

Work with the existing architect and appropriate engineers/QS to investigate eliminating or substantially reducing the basement and transferring car parking into the podium, potentially replacing some office/commercial space.

The review would compare the value of any commercial area lost against savings in excavation, retention, waterproofing, structure, services, construction time and financing.

Item	Figure
Potential gross saving to investigate	≈ \$30M

This amount must be independently verified before being incorporated into the final feasibility.

3. Sales and Marketing

Replace or restructure the conventional ≈7% sales and marketing model using the sales and digital marketing system successfully utilised by Purple Sand, subject to demonstrating appropriate sales velocity, pricing and financier acceptance. Proven pre-sales greatly reduce risk for both bank and developer.

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Item	Figure
Current 7% cost	≈ \$20.80M
Target 3.5% cost	≈ \$10.40M
Potential saving	≈ \$10.40M

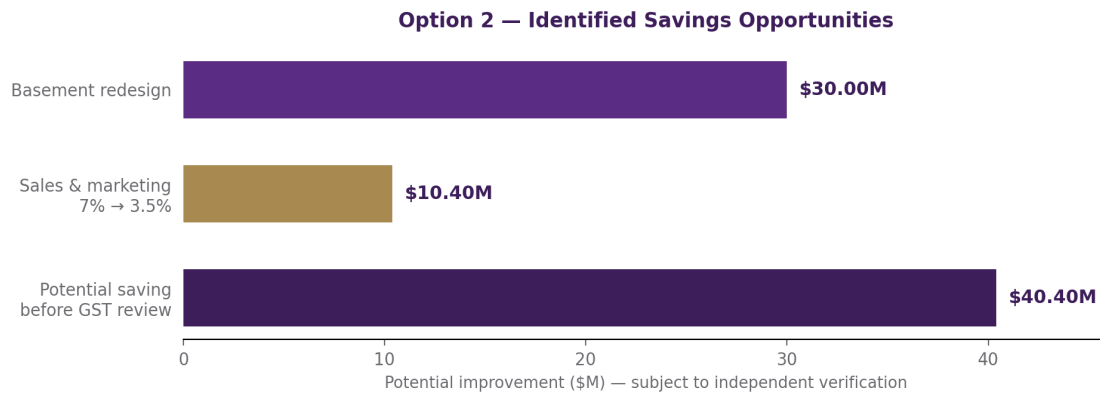


Figure 1 — Option 2 identified savings opportunities, subject to independent verification.

Option 2 — Potential Savings

Opportunity	Potential Improvement
Basement redesign	≈ \$30.00M
Sales & marketing 7% → 3.5%	≈ \$10.40M
Potential saving before GST review	≈ \$40.40M
GST optimisation	To be determined
GST specialist review cost	≈ \$30,000

If the approximately \$30M basement saving and \$10.4M sales saving are substantially verified, the preliminary effect is:

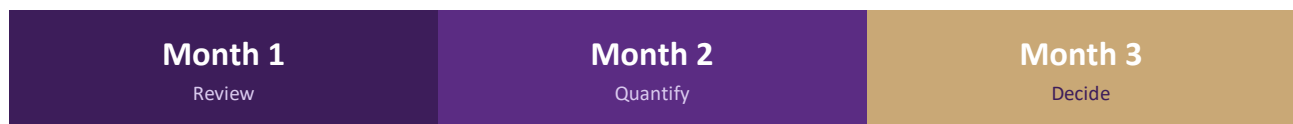
Metric	Option 1	Option 2 (if savings verified)
GRV incl. GST	\$297.11M	\$297.11M
Total Development Cost	\$268.65M	\$228.25M
Indicative Profit	\$1.45M	\$41.85M
Indicative Profit on Cost	~0.5%	~18.3%
Additional GST Benefit	Nil assumed	Nil assumed

The Option 2 numbers are targets for investigation, not guaranteed savings. The basement saving in particular must be netted against redesign costs, planning implications, any lost commercial value and other consequential costs.

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3. Three-Month Option 2 Process



Month 1 — Review: GST specialist engaged; architect/QS/engineers review basement and podium parking; Purple Sand reviews sales structure; existing feasibility and financing requirements confirmed.

Month 2 — Quantify: Cost the basement alternative; quantify lost commercial area; obtain GST advice; establish the 3.5% sales strategy; update the construction programme, finance costs and complete feasibility.

Month 3 — Decide: Present IMG with verified Option 1 versus Option 2 feasibility, funding requirements, risks and recommended financing structure.

4. Summary for IMG

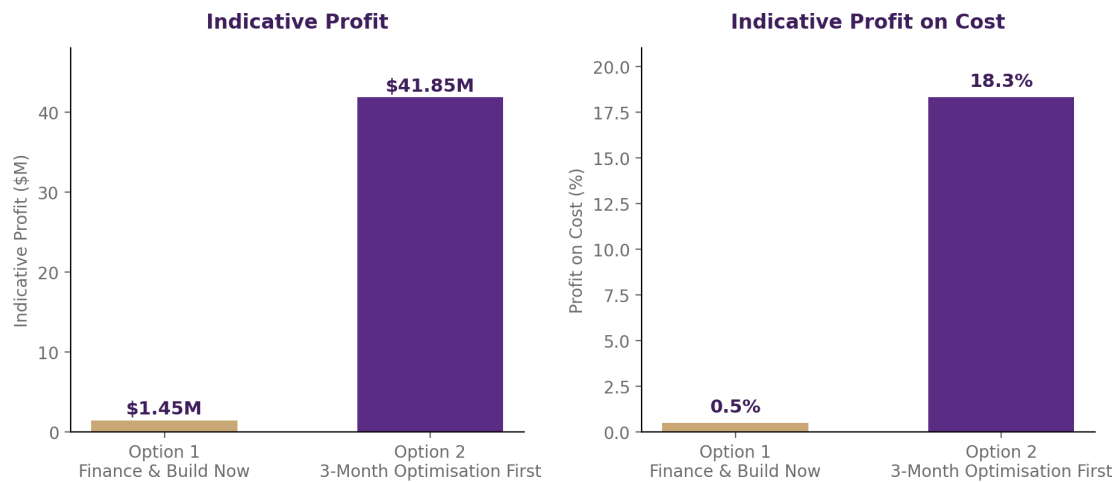


Figure 2 — Indicative profit and profit-on-cost, Option 1 vs Option 2.

	Option 1	Option 2
Existing Permit	Retain	Retain as starting point
Existing NSA/GBA	Retain	Retain as starting point
Purple Sand Project Manager	No	No
Purple Sand Arranges Finance	Yes	Yes
Purple Sand Manages Financier Relationship Through Build	Yes	Yes
Sales Cost Assumption	7%	Target 3.5%
Basement	Existing design	Review elimination/reduction
GST	Existing preliminary treatment	Specialist review
Initial Review Period	Proceed to financing	3 months
Preliminary Profit	≈ \$1.45M	Potentially ≈ \$41.85M before GST upside
Preliminary Profit on Cost	≈ 0.5%	Potentially ≈ 18.3% before GST upside

Purple Sand's fee — Option 2

In addition to Purple Sand's financing fee under Option 1, the three-month optimisation review under Option 2 is charged at \$100,000 plus GST.

5. Purple Sand Recommendation

Option 1 provides IMG with the fastest pathway to financing and construction but, on the present preliminary numbers, starts at approximately break-even.

Option 2 retains the existing permit as the project's base position but uses three months to investigate approximately \$40.4M of identifiable potential savings before any GST benefit is included.

The commercial proposition is therefore straightforward:

- **OPTION 1: Finance the existing project and proceed.**
- **OPTION 2: Spend three months determining whether the existing project can be materially improved, then finance and proceed.**

Purple Sand's role under either option remains clearly defined: arrange and structure the financing, negotiate with the financiers, and manage IMG's financier relationships throughout the build through to completion and repayment. Construction project management remains with IMG and its appointed project team.

Note

An interactive, editable online calculator is also available for IMG to test alternative assumptions (sales and marketing rate, GST treatment, basement saving, review timing and fees) live — available on request from Purple Sand.